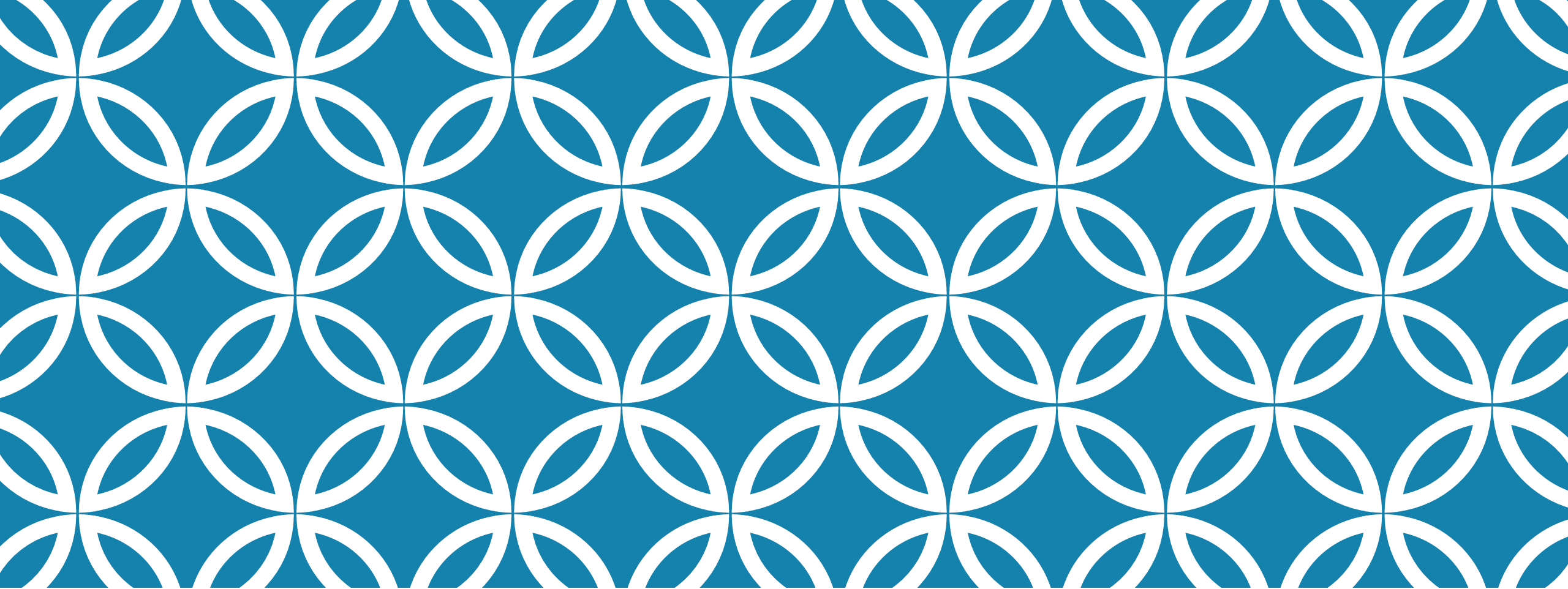
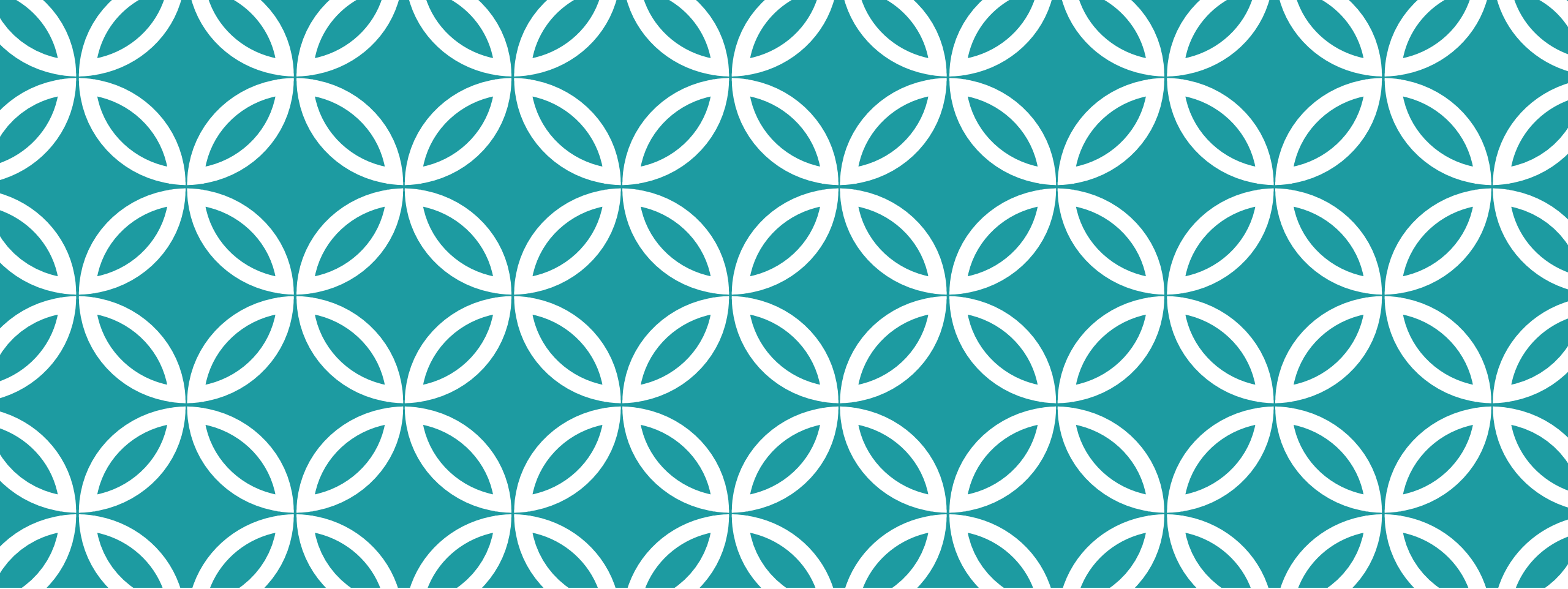




PUBP309: EDUCATION POLICY

School Choice, Vouchers, and Pragmatic Education Policy making

Shivakumar Jolad
FLAME University



SCHOOL CHOICE, CASH AND KIND INCENTIVES IN EDUCATION

**Can you buy
quality schooling?**

IZA DP No. 10612

The Private Schooling Phenomenon in India: A Review

Geeta Gandhi Kingdon

IoE, University College London and IZA

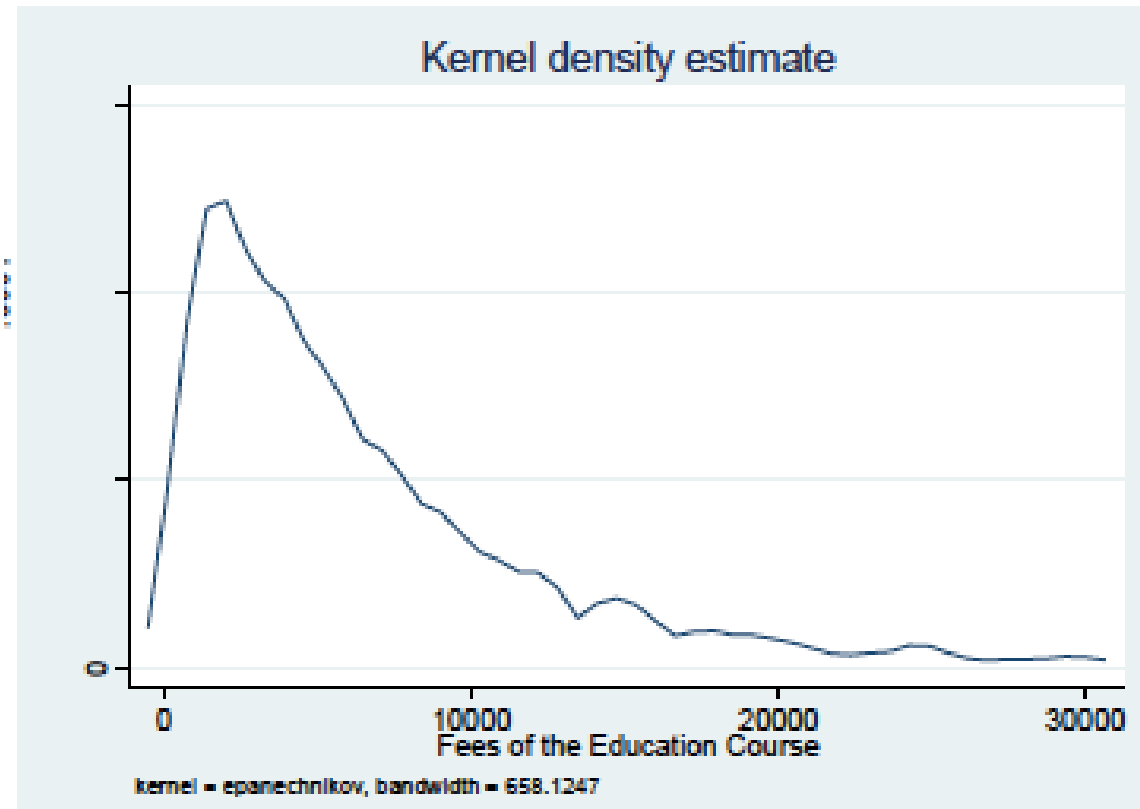


SUMMARY

- **Steep growth of private schooling and a corresponding rapid shrinkage in the size of the government school sector in India**, suggesting parental abandonment of government schools.
- Very large majority of private schools in most states are **‘low-fee’ when judged in relation to: state per capita income,...**
 - Affordability is an important factor behind the migration towards and growth of private schools.
- The main reason for the **very low fee levels in private schools is their lower teacher salaries,**
- **Private schools’ substantially lower per-student-cost combined with their students’ modestly higher learning achievement levels**
- How education policies relating to private schools are harmful when formulated without seeking the evidence

This paper examines the size, growth, salaries, per-pupil-costs, pupil achievement levels and cost-effectiveness of private schools, and compares these with the government school sector. Official data show a steep growth of private schooling and a corresponding rapid shrinkage in the size of the government school sector in India, suggesting parental abandonment of government schools. Data show that a very large majority of private schools in most states are 'low-fee' when judged in relation to: state per capita income, per-pupil expenditure in the government schools, and the officially-stipulated rural minimum wage rate for daily-wage-labour. This suggests that affordability is an important factor behind the migration towards and growth of private schools. The main reason for the very low fee levels in private schools is their lower teacher salaries, which the data show to be a small fraction of the salaries paid in government schools; this is possible because private schools pay the market-clearing wage, which is depressed by a large supply of unemployed graduates in the country, whereas government schools pay bureaucratically determined minimum-wages. Private schools' substantially lower per-student-cost combined with their students' modestly higher learning achievement levels, means that they are significantly more cost-effective than government schools. The paper shows how education policies relating to private schools are harmful when formulated without seeking the evidence.

FEE LEVELS IN PRIVATE SCHOOLS

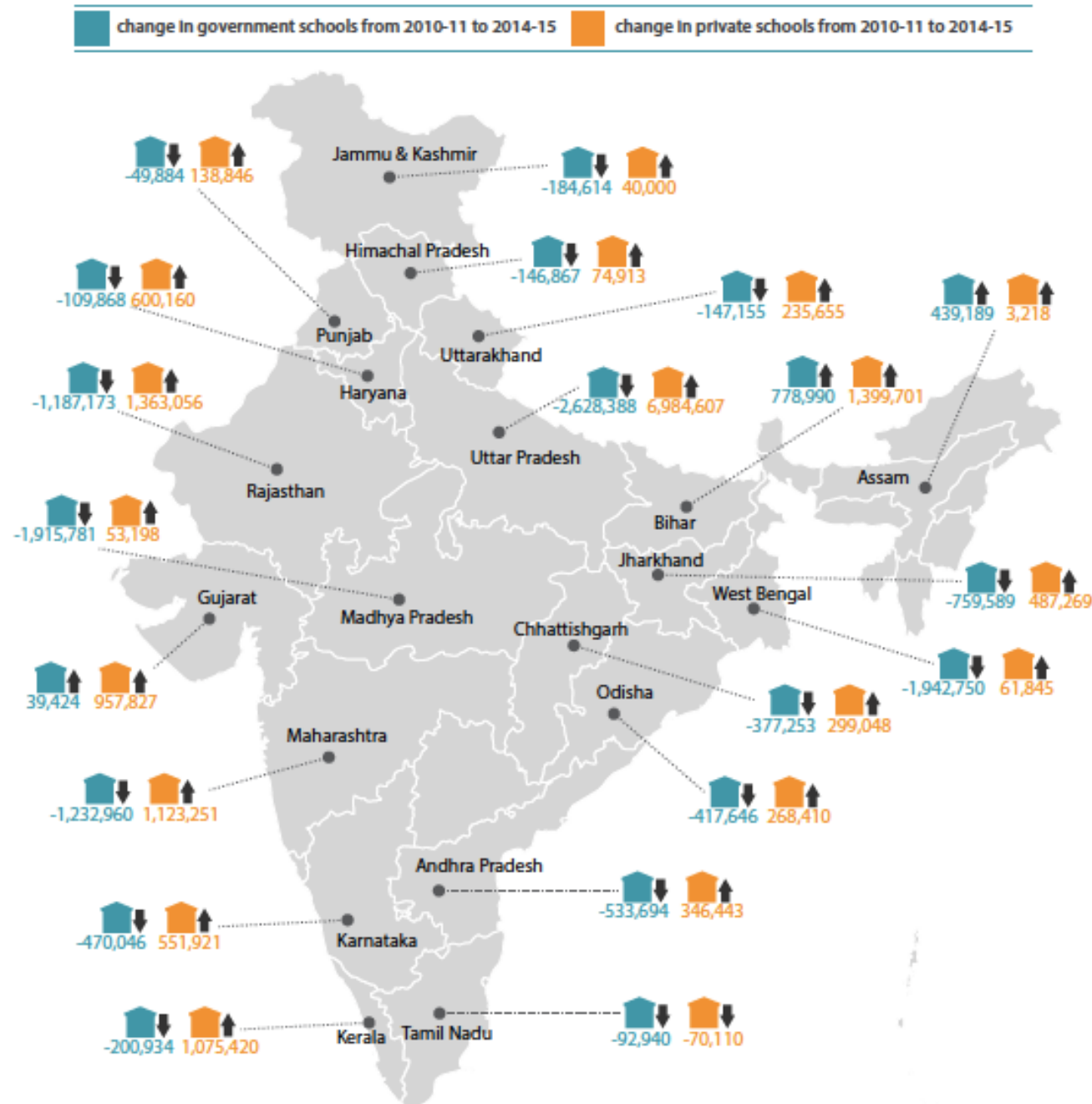


Graph 1b

Distribution of (annual) fee level after constraining the fee values to be below Rs. 30,000 pa (Rs. 2500 pm). Even here, it is visible that only a very small number of students pay fees above around Rs. 12,000 pa or Rs. 1000 pm.



Table 3: Change in students in government and private schools, by state



The emptying of public schools and growth of private schools in India



Geeta Gandhi Kingdon

Geeta holds the Chair of 'Education Economics and International Development' at Institute of Education, University College London. Her research is based mostly on statistical analysis of education, based on which she advises governments and donor agencies such as the World Bank, EU and DFID on their education-related aid to developing countries.

REPORT ON BUDGET PRIVATE SCHOOLS IN INDIA



Median Fee Levels

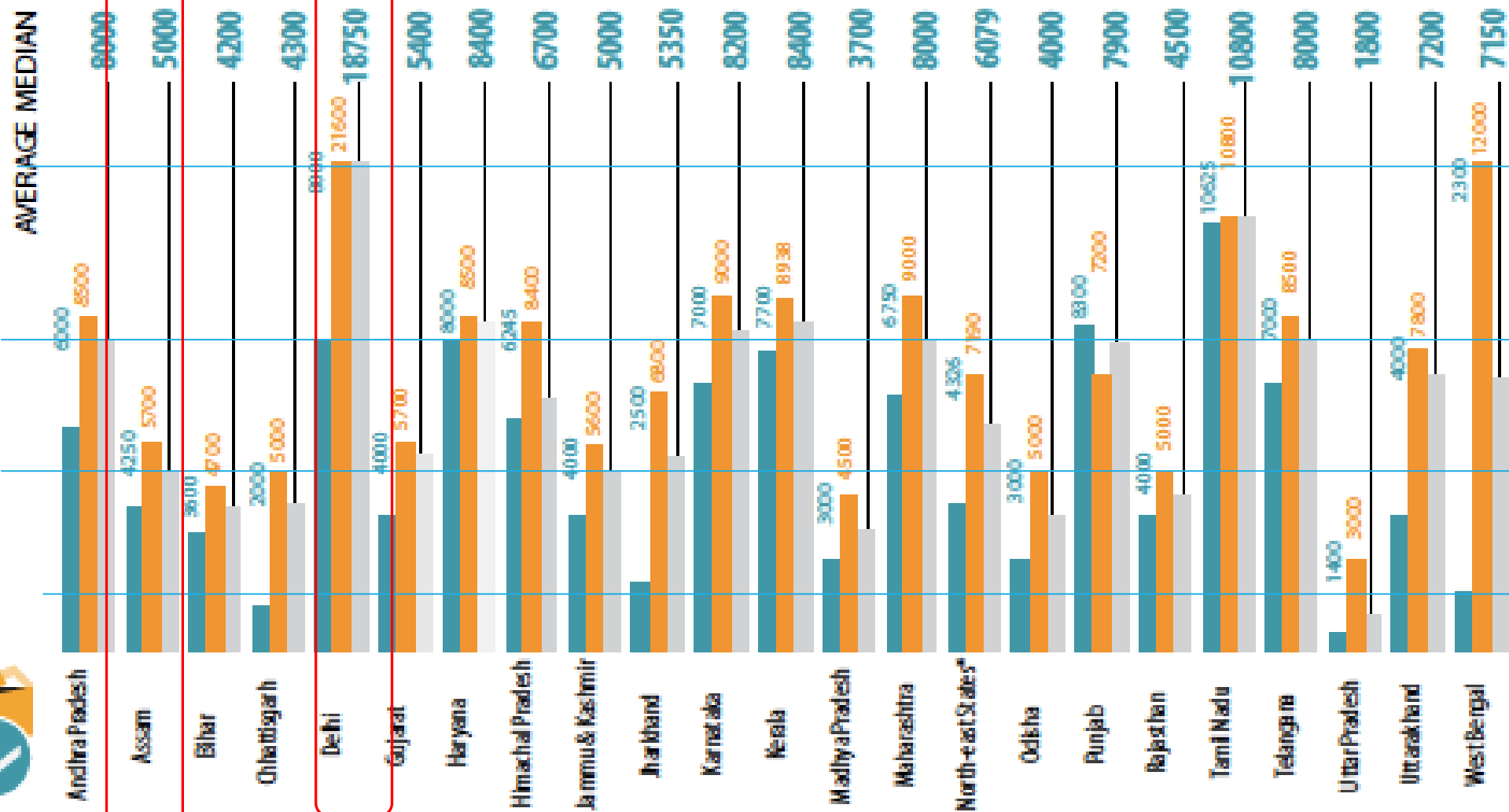


Table 6: Mean and median annual fee levels in private unaided schools for children aged 6-14, by state, 2014-15

Table 11
Private schools' fee compared with Govt. funded schools'
per pupil expenditure (PPE) - 2014-15

	Median private school fee (Rs. per month)	Govt. funded schools' PPE (Rs. per month)	Private schools' fee as a % of Govt-funded schools' PPE	% private schools whose fee is lower than Govt funded schools' PPE
	(a)	(b)	(c) = (a/b)*100	(d)
Andhra Pradesh	667	1174	56.8	81.1
Bihar	350	442	79.2	62.6
Chhattisgarh	358	1346	26.6	85.7
Gujarat	450	1426	31.6	89.8
Haryana	700	2264	30.9	94.2
Himachal Pradesh	558	3279	17.0	99.5
Jharkhand	446	668	66.8	65.2
Karnataka	683	1410	48.4	81.1
Kerala	700	1618	43.3	91.5
Madhya Pradesh	308	994	31.0	86.8
Maharashtra	667	1226	54.4	71.1
Orissa	333	781	42.6	86.7
Punjab	658	762	86.4	58.8
Rajasthan	375	1616	23.2	95.2
Tamil Nadu	900	1186	75.9	70.0
Uttar Pradesh	150	1092	13.7	92.9
Uttarakhand	600	2186	27.4	95.3
West Bengal	596	583	102.2	48.3
India (major states) Weighted means	417	1091	47.4	79.4

Source: NSS (2014-15) data, for column (a) and Dongre & Kapur (2016) for column (b). Dongre & Kapur do not report govt. PPE for Delhi, Assam and Jammu & Kashmir. Columns (c) and (d) are calculated by the author. There is reason to believe Dongre & Kapur's PPE figures are seriously under-estimated, see Annex 1.

SCHOOL VOUCHERS



Milton Friedman on
School Vouchers

<https://www.youtube.com/watch?v=EUSOtID5RsQ>

SCHOOL VOUCHER



Promote Efficient and Accountable Use of Public Funds

- Fund students, not schools: give per-student grants to schools
- Provide principals financial and operational autonomy
- Encourage local level hiring of teachers
- Give genuine powers to School Management Committees
- Use learning-contract based PPP models
- Publish in a common format all data on budgets, learning outcomes and teacher quality

Achieve Equity and Quality through Choice and Competition

- Encourage edupreneurs by removing entry barriers
- Actively support performing budget private schools that the poor choose
- Declare education as a priority sector for easier and cheaper access to credit and capital

Strengthen the Education Ecosystem

- Make learning outcomes the central focus of all regulations
- Apply same standards and rules to private and government institutions
- Allow any student to take the CBSE Board exam
- Enhance the credibility and acceptability of the National Open School certificate
- Establish independent learning assessment and rating agencies
- Offer schools the choice to be non-profit or for-profit

RTE 12(1)(C)- ALIBI FOR SCHOOL VOUCHER?

Under section 12 1(c) of RTE, government mandates 25% seats in private schools to be reserved for students from economically weaker sections of society.

Low Budget private schools;

Low cost , better learning?

12(1)(C) Induce competition?

<https://ccs.in/how-voucher-system-can-improve-nations-quality-education>

HAVE SCHOOL VOUCHERS WORKED?

Quality education for all children? What works in education in developing countries



Shari Krishnaratne, Howard White and Ella Carpenter

SCHOOL VOUCHER- EVALUATION

Restricted school vouchers: The Programa de Ampliación de Cobertura de la Educación Secundaria (PACES) vouchers in Colombia **were awarded by lottery to children** living in poor neighbourhoods and attending public primary school, as long as they had been accepted to a private secondary school participating in the PACES programme

Unrestricted school vouchers: All children will receive school vouchers (eg Chile)

VOUCHERS: *THEORY OF CHANGE*

Improved schooling outcomes by reducing the cost of education.

- (1) parental choice increases competition amongst schools to improve their quality
- (2) a child's ability to attend a better school is not constrained by household factors

VOUCHER IMPACT ASSESSMENT- COUNTRIES

No significant effects were found on learning outcomes (Chile and Colombia) or on school attendance (Colombia), although children did shift from public to private schools (Chile and Colombia).

- **Those already attending private school went to more expensive schools**

Studies in US – remain mixed.. Overall no significant effect on quality

The Effect of School Choice on Student Outcomes in the United States

Julie Cullen Brian Jacob Steven Levitt



J-PAL
ABDUL LATIF JAMEEL POVERTY ACTION LAB

Location: Chicago, Illinois

Sample: 14,434 eighth grade students at 19 high schools

Timeline: 2000 to 2001

Target Group: Secondary schools
Students

Urban population

Outcome of Interest: Discrimination

Dropout and graduation

Enrollment and attendance

Intervention Type: School choice

Research Papers: [The Effect of School Choice on Student Outcomes: Evidence from Randomized Lotteries](#)

School choice programs offer students more opportunities to attend schools with higher achievement and graduation levels. In partnership with the Chicago Public Schools, **researchers examined the effects of a school choice program on several traditional student achievement outcomes. They used a randomized lottery to induce school choice and found no measurable difference in traditional education outcomes for students who attended better schools.** However, there were some improvements in nonacademic outcomes, such as self-reported disciplinary action and arrests.

METHOD

Researchers, together with CPS, examined the effect of school choice on **several traditional measures of achievement including standardized test scores, graduation rates, attendance rates, course taking patterns, and credit accumulation.**

Researchers used the lottery-induced randomization to create and compare two groups of students: students who won the lottery and students who lost. They studied the difference in student outcomes between the groups to determine whether winning the lottery provides any systematic benefits to students.

Students were allowed to apply to multiple lotteries and the overall sample included 19,520 applications from 14,434 students at 19 different high schools.

POLICY ISSUE

- Theory suggests that students should fare better in higher achieving schools because of access to more resources, accomplished peers, or programs that better suit their learning needs.
- **However, there is little evidence of a relationship between access to these sought-after schools and student outcomes.**
- **Evidence suggests that adding resources, without changing the way schools are managed and incentivized, is neither necessary nor sufficient for improving student outcomes.**
- The literature to date shows mixed results with regard to policymakers' ability to influence educational outcomes by altering the set of inputs to the educational process.

THE PROBLEM WITH SCHOOL CHOICE

the empirical evidence for choice and market forces improving educational outcomes is thin at best.

- the biggest problem in thinking of schools as a classical market

Schools are complicated goods, and **quality, particularly a school's long-run quality, is hard to judge for many parents.**

Observing school quality is quite costly, and in many settings there is no credible way to inform future students about the quality of education they are getting.

Market forces fail to discipline for-profit colleges because for an individual student there's no repeated game here.'

WHEN IS SCHOOL CHOICE A BAD CHOICE?

“Education policy based on market principles by definition expects some schools to fail—and expects some children to be casualties.” *The problem the free market presents in the case of education is that when competitors and experiments fail, children suffer*

1. School choice is a bad choice when it encourages profiteering.

- As with any business, the for-profit entities that run public charter schools have an incentive to maximize revenue while minimizing costs.

2. School choice is a bad choice when it is a tool for advancing ideology rather than education.

- There is evidence, however, that school choice without government regulation does not improve education and can harm disadvantaged students.

3. School choice is a bad choice when it promotes racial and economic segregation.



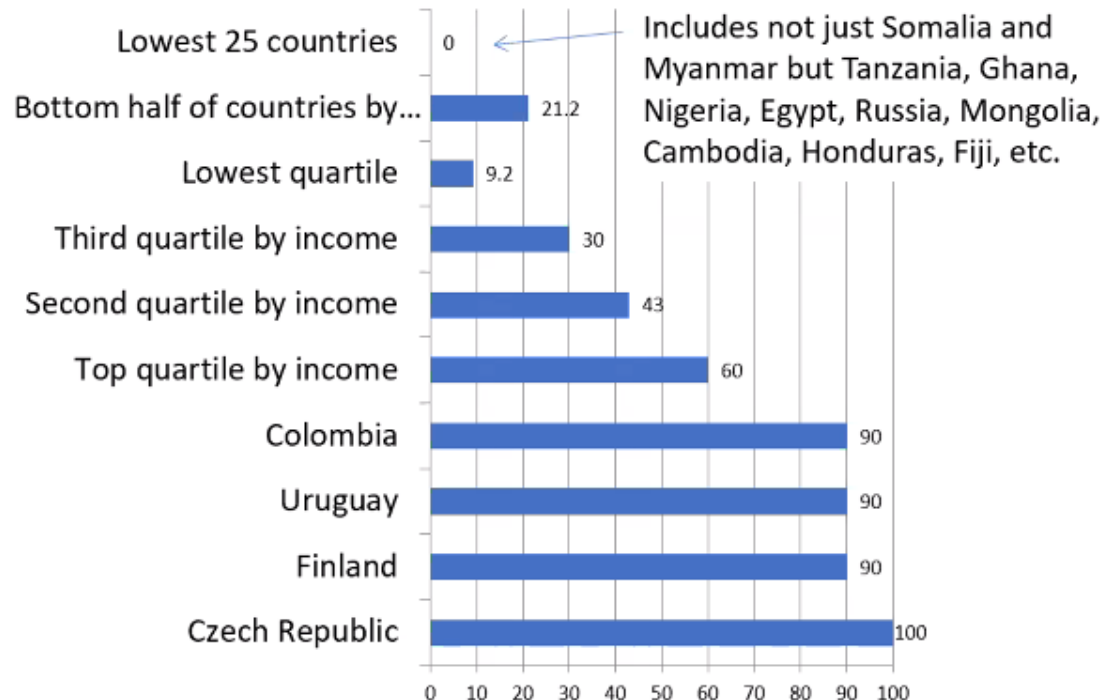
Anil Swarup

An idea can fructify, sustain and scale only if it is **politically acceptable, socially desirable, technology feasible, financially viable, administratively doable and judicially tenable.**

STATE CAPACITY AND GOVERNANCE

Does “policy” matter at all for outcomes? An example where every country has the **same** policy produces 0 and 100 percent

Percent of 10 misaddressed letters coming back to USA within 90 days (all countries agree to return within 30 days)



Source: Chong et al 2014

Includes not just Somalia and Myanmar but Tanzania, Ghana, Nigeria, Egypt, Russia, Mongolia, Cambodia, Honduras, Fiji, etc.

